

INSIGHTS & SUMMARY

- The analysis shows that area, bathrooms, stories, parking and air conditioning were the most influential features affecting the house prices.
- The Linear Regression model achieved an R^2 score of 0.653 indicating that it could explain approximately 65% of the variation in house prices, which represents a reasonably good predictive performance.
- Linear Regression outperformed the Random Forest Regressor even after hyperparameter tuning suggesting that the relationships between the features and house prices in this dataset are largely linear.
- Some features such as hot water heating had very little influence on house prices.
- Based on these findings a real estate business should focus on properties with larger areas, more bathrooms, additional stories, parking facilities and air conditioning as these features are more strongly associated with higher property values.